

Korean Inflation Forecasts

Results and Method

Model output review

16 September 2026
Input snapshot through June 2026

1 Results

The saved monthly vector autoregressions (VARs) project headline CPI, core CPI excluding food and energy, and producer prices (PPI) for 36 months. Headline year-ended CPI inflation declines from 3.17% in June 2026 to 2.23% one year later, then reaches 2.56% in June 2029. Core CPI rises to 2.91% in June 2027 before easing to 2.37% by the end of the path. PPI inflation falls sharply from 8.42% in the last observed month to 2.13% in June 2027 and 1.90% in June 2029. The PPI decline is a model projection, not an assumption imposed on the CPI systems.

Period	Headline CPI	Core CPI	PPI
June 2026 (observed)	3.17	2.48	8.42
June 2027	2.23	2.91	2.13
June 2028	2.63	2.51	1.87
June 2029	2.56	2.37	1.90

All entries are year-ended percentage changes, rounded from the Korean CPI and PPI forecast CSVs. Solid chart lines are observed rates; dashed lines are projections. A dotted rule marks June 2026.

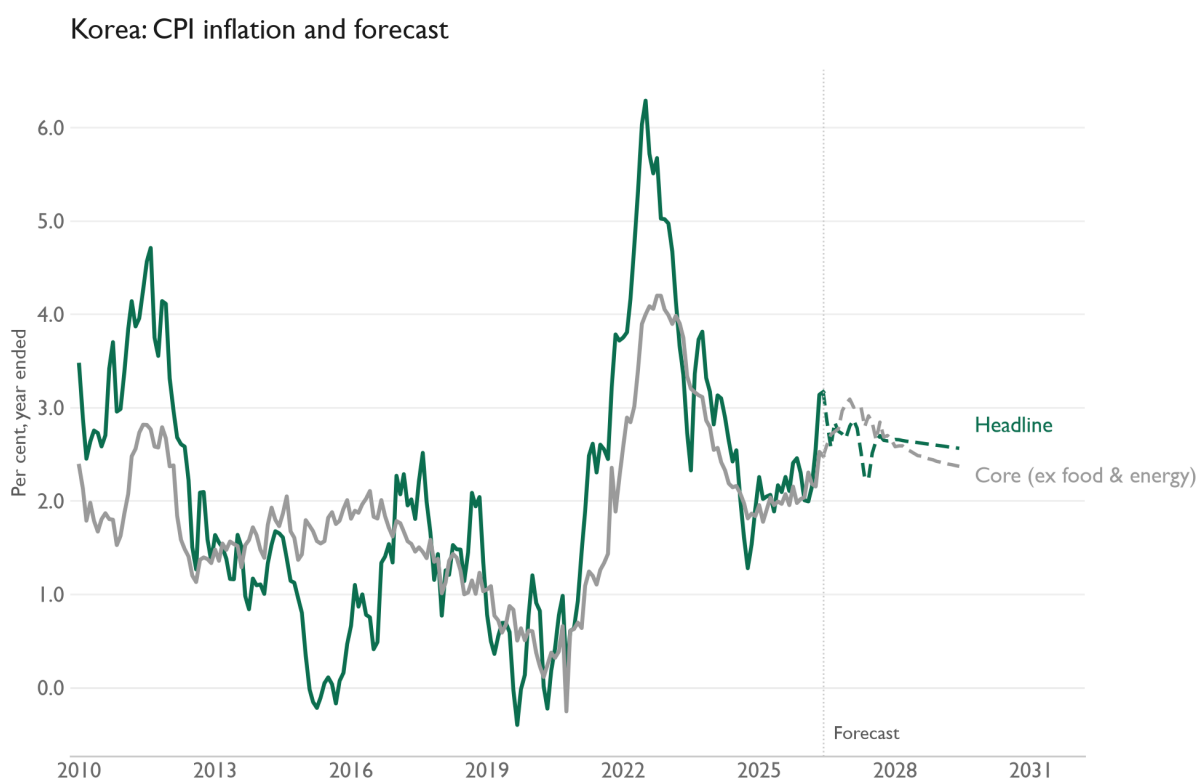


Figure 1: Korean headline and core CPI inflation and 36-month forecasts.



Figure 2: Korean producer-price inflation and 36-month forecast.

2 Methodology

2.1 Data and specification

The country workbook contains only the three target price indices and four drivers required from the original KR sheet. The targets are headline CPI, core CPI excluding food and energy, and PPI. Each has a separate monthly VAR with the same driver block: inflation expectations, WTI oil, import prices, and unemployment. Target, oil, and import-price indices enter as 100 times their month-on-month percentage changes; expectations and unemployment enter as levels. The code begins assembling data in January 2002; after alignment and differencing, the transformed estimation samples start in March 2002 and end in June 2026.

Each fitted system has the form

$$x_t = c + A_1x_{t-1} + \cdots + A_px_{t-p} + u_t.$$

`statsmodels` selects p by the Akaike information criterion from at most 12 lags. The saved headline CPI and PPI fits use three lags; core CPI uses six. The VAR recursively projects the target and all four drivers for 36 months. Projected monthly target changes are chained to the last observed index; the reported year-ended rate is $100(P_t/P_{t-12} - 1)$.

Run `py -3.14 run_all.py` from the parent `inflation-forecasts` folder to regenerate the CSVs and charts from the bundled inputs. The CSVs store historical and forecast index levels and year-ended rates.

3 Interpretation and limits

Separate VARs mean the CPI and PPI paths are not constrained to agree with one another. In particular, PPI is a forecast target in its own model, not a forecast driver in the CPI models. The charts show point forecasts only; no uncertainty bands or rolling out-of-sample evaluation are published. The fitted models extrapolate historical relationships and do not encode future policy decisions or new commodity-price shocks. The rapid PPI disinflation should therefore be read as a feature of this statistical forecast, with uncertainty around its timing and size.